

What is the subject matter of Economics?

We want more than we can get. We want a peaceful and secure life/ world. We want clean air, lakes and rivers. We want long and healthy lives. We want good schools, colleges and universities. We want spacious and comfortable homes etc. We have limited resources but unlimited wants. That is resources are scarce.

Scarcity means that society has less to offer than people wish to have. Just as a household can not give every member everything he or she wants, a society can not give every individual the highest aspire. So our inability to satisfy all our wants is called scarcity.

Faced on scarcity we must make choices. We must choose among the available alternatives. The child must choose the soda or gum. The millionaire must choose the golf game or the meeting. As a society, we must choose among healthcare, national defense, the environment and so on.

Economics is the social science that studies the choices that individuals, businesses, governments, and entire societies make as they cope with scarcity.

Why should we study Economics ?

There are four main reasons to study economics :

1. To learn a way of thinking ;
2. To understand society ;
3. To understand global affairs ; and
4. To be an informed voter.

The first reason is to study economics is that it will help you understand the world in which you live. There are many questions about the economy that might spark your curiosity. Why apartments are too much expensive in Dhaka city ? Why are living standards lower in many African countries? Why are jobs difficult to find in Bangladesh? Why is electricity price lower in case of household use than in case of industrial use ? These are just a few of the questions that a course in economics will help you answer.

Second, the study of economics will make you a more astute(clear) participant in the economy. Everyday you have to make many decisions. As a student you decide hoe many hours will you study, or how many years will you stay in school. When you take a job, you decide, how much of your salary to spend, how much to save, and how to invest your savings. If you become a producer, you need to decide what prices to charge for your products. The study of economics will give you a new perspective on how best to make this decisions.

A third reason for studying economics is to understand global affairs. Great Britain and the rest of the European Union (a European trading bloc) struggle with the implications of their agreement to adopt a common currency, the Euro. The nations of the former Soviet Union are wrestling with a new phenomenon that clouds their efforts to “privatize” state owned industries: organized crimes. All countries are part of a world economy, and understanding international relations begins with a basic knowledge of the economic links among countries. Economics will help you to understand global affairs.

The fourth reason is that it will give you a better understanding of the potential and limitations of economic policy. As a voter you help choose the policies that guide to allocation of societies resources. When deciding which policies to support you may find yourself asking various questions about economics. What are the burdens associated with alternative forms of taxation .What are the effect of free trade with other countries? What is the best way to protect the environment? How does the Govt. budget deficit affect the economy?

Thus economics deals with many of life’s situations. In future when you read newspaper , run a business, or sit in corporate office, or planning a new urban city , you will be glad and proud that you studied economics.